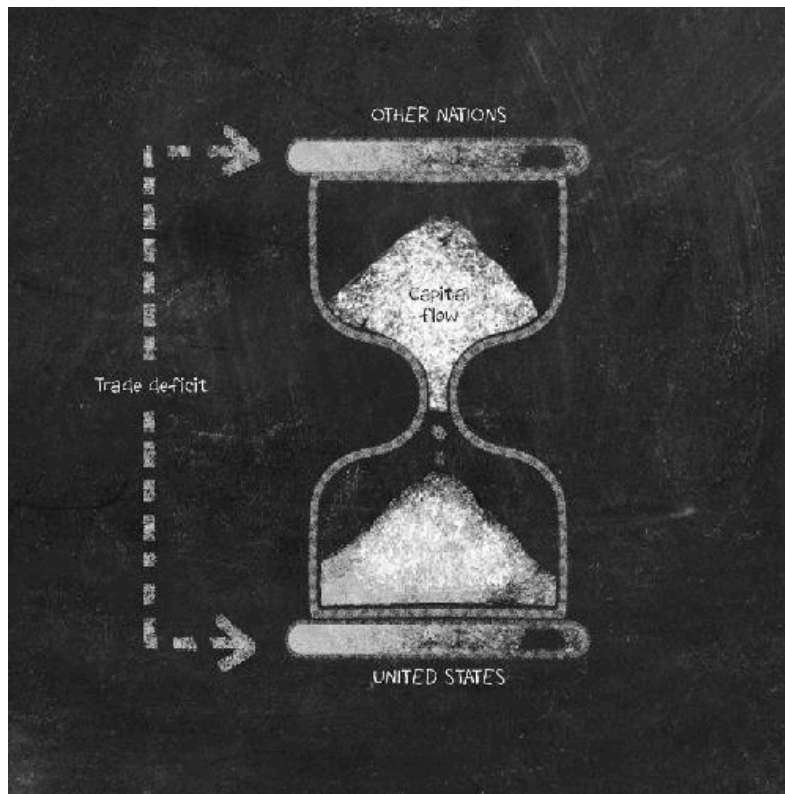


The US trade deficit and global imbalances



As the largest economy in the world, the United States has run a 'trade deficit' for many years, importing more than it exports. Such deficits have to be funded by capital flows from abroad. The large US deficit, and corresponding inflow of foreign money, are global imbalances in the international trading system. Such imbalances are a fact of economic life and don't necessarily pose problems, but the size and persistence of today's imbalances worry commentators, some of whom argue that they fed into the recent financial crisis. The US trade deficit has been mirrored by Chinese surpluses that generated a flow of capital to the rest of the world and contributed to a global 'savings glut'. These savings flooded Western financial markets, leading to a boom in lending, some of which went into the overly liberal mortgage lending (see [Financial crises](#)) that went on to undermine financial markets. The size of the US trade deficit remains controversial –

some are concerned that if capital flows decline, it will become unsustainable and the economy will suffer a major shock.